Claim No. BL-2020-002063

IN THE HIGH COURT OF JUSTICE

BUSINESS AND PROPERTY COURTS OF ENGLAND AND WALES

BUSINESS LIST (ChD)

B E T W E E N:

NICHOLAS STOOP

T/A WARWICK RISK MANAGEMENT

Claimant

- and -

NICOLA JOHNSON

Defendant

RESPONSE TO
PART 18 REQUEST

Introduction

This is the Defendant's response to the Claimant's Part 18 request made on 9 June 2021.

Request

Paragraph 60 of the Amended Particulars of Claim provides:

> *"Further, the Claimant seeks an Order that the Defendant discloses all details of any settlement she has reached with Barclays"*

Paragraph 58 of the Amended Defence provides:

> "*As to paragraph 60, the Defendant does not intend to oppose an application for such disclosure, and intends to provide further information under Part 18 upon any such order for disclosure being made."*

1. So that the Claimant may quantify the value of the claim in respect of the Contract, please provide details as to the value to the Defendant of the settlement with Barclays.

2. In particular, please confirm:

   2.1 the sums presently outstanding in respect of each of the London Mortgage and Paris Mortgage (as those terms are referred to at paragraph 22 of the Amended Particulars of Claim))

   2.2 how much of the London Mortgage debt and the Paris Mortgage was waived by Barclays.

Response

1. The Defendant is unable to disclose the terms of any negotiations with or settlement with Barclays, other than pursuant to a Court order. The Defendant has always said that she would not oppose such an order, and intends to respond substantively to this Part 18 request when such an order has been made.

2. Response 1 above is repeated.

Request

Paragraph 32 of the Amended Particulars of Claim provides:

> "32. *This catalogue of evidence, which included evidence that senior figures at Barclays had participated in fraud and the laundering of the proceeds of tax-evasion, was considered likely to compel Barclays to agree a settlement with the Defendant. In October 2018, at the Defendant's request, the Claimant began work on a draft letter to be sent by CRS to Dentons, setting out the basis of the claim in fuller detail. Also at the Defendant's request, the Claimant drafted a letter summarising the claim to be sent by the Defendant to her MP, Emma Dent-Coad."*

Paragraph 33 of the Amended Defence provides:

> "*As to paragraph 32, it is admitted that the Claimant considered that the evidence against Barclays was likely to compel Barclays to agree a settlement with the Defendant; and that the Claimant did work on a draft letter to be sent by CRS to*

Dentons. It is denied that the Claimant drafted the letter sent by the Defendant to her MP. The remainder of paragraph 32 is not admitted."

Paragraph 46 of the Amended Defence provides inter alia:

> "*the work done by the Claimant did not effectively cause any settlement with Barclays*"

Paragraph 39 of the Amended Particulars of Claim provides:

> *On 17 January 2019, as agreed with the Defendant, CRS sent the CFA to the Defendant to be signed by her, but the Defendant did not sign it. Nor did she send the letter drafted by the Claimant to her MP.*

Paragraph 40.2 of the Amended Defence provides:

> *The second sentence of paragraph 39 is denied. The Defendant (not the Claimant) drafted the letter to her MP, which she did send, on 20 March 2019.*

Paragraph 42 of the Amended Particulars of Claim provides:

> *On or about 29 May 2019, the Defendant finally sent the letter to her MP, who forwarded it to Barclays. On 20 June 2019, Barclays replied to the Defendant stating that it would prefer to achieve a consensual solution and that it had asked Dentons to contact the Defendant's legal advisers to arrange a meeting.*

Paragraph 43.2 of the Amended Defence provides:

> *On 20 March 2019, the Defendant wrote to Emma Dent-Coad MP. The Claimant had no material input into the letter sent to the Defendant's MP. The email was forwarded to Barclays, who became more willing to engage with the Defendant.*

3. Does the Defendant agree that the letter sent by the Defendant to her MP was substantially based on the Claimant's draft letters to Dentons and/or her MP? If not, why not?

4. Does the Defendant agree that the material set out in Claimant's draft letter to Dentons and the Claimant's drafts of the letter to the MP substantially formed the basis of the Defendant's case as put to Barclays in and before settlement negotiations with Barclays? If not, why not?

<u>Response</u>

3. No, she does not agree, because she drafted the letter to her MP herself and did not substantially base it on the Claimant's draft letters.

4. Response 1 above is repeated.

Request

Paragraph 26 of the Amended Defence provides:

> "*Except that it is denied that the Claimant truly understood that the Defendant received independent legal advice, paragraph 26 is admitted. The Defendant was unable to seek independent advice because she could not afford to do so. Her email to the Claimant on 14 May 2018 stated "I have signed a contract you asked for without any legal advice. Davina has been too busy to help me*."

In an email dated 23 October 2020 from the Defendant's solicitors to the Claimant's solicitors it was said of the Defendant inter alia:

> "*She did have a conversation with a colleague of Davina's. The only specific comment which our client recalls was made was an observation that 50% of any 'compensation' seemed high."*

5. Who was the "colleague of Davina's"?

6. For which firm did the "colleague of Davina's" work?

7. Was the "colleague of Davina's" a lawyer?

Response

5. The Defendant does not know the colleague's name. He was male.

6. The Defendant does not know.

7. The Defendant does not know (but thinks he may have been).

Request

Paragraph 12.1 of the Amended Defence provides inter alia:

> *"...the Defendant's best approximation of the value to the Claimant of these*

countervailing benefits is as follows, for a rounded (for present purposes only) seven year period:
50% of the notional rental cost of Warwick House £1,642,500
50% of the cost of utility bills and council tax bills £46,844
50% of the cost of groceries, restaurant meals, and entertaining £105,000
Cooking, cleaning, washing, and ironing £126,000
50% of the cost of numerous holidays £60,000".

8. Please provide full details of how the Defendant has arrived at the said approximation.

Response

8. It is clear on the face of the pleading that the Defendant has approximated the value to the Claimant of the countervailing benefits by listing each benefit, quantifying its approximate cost over seven years, and adding them up. Further information is not reasonably necessary or proportionate to enable the Claimant to prepare his own case or to understand the case he has to meet. Without prejudice to this, and notwithstanding that the following is more appropriate in evidence (rather than as part of a statement of case):
    a. 50% of the notional rental cost of Warwick House:
        i. The Defendant has calculated this on the basis of a £9,000 weekly rent, divided by 7 and multiplied by 365 to find an equivalent annual rent, multiplied by 7 for seven years, then divided by 2 to find the Claimant's share.
        ii. (((£9000/7)*365)*7)/2 = **£1,642,500**
    b. 50% of the cost of utility bills and council tax bills:
        i. The Defendant has used the following monthly costs:
            1. British Gas £400
            2. EDF £350
            3. Thames Water £157
            4. Council Tax £208
            5. Total £1,115 per month
        ii. £1,115 * 12 * 7 = £93,688 (approximate total for seven years)
        iii. £93,688 /2 = **£46,844**

c. 50% of the cost of groceries, restaurant meals, and entertaining:
    i. The Defendant has used a monthly total cost of £2,500
    ii. £2,500 * 12 * 7 = £210,000 (approximate total for seven years)
    iii. £210,000 /2 = **£105,000**
d. Cooking, cleaning, washing, and ironing
    i. The Defendant has approximated the value of these benefits to the Claimant at £1,500 per month
    ii. £1,500 * 12 * 7 = **£126,000**
e. 50% of the cost of numerous holidays
    i. Those holidays were

1. Verbier (Dec/Jan 2009/10)	£15,000
2. Corfu (July 2010)	£2,000
3. Hydra, Greece (April 2010)	£3,000
4. Hydra, Greece (May 2011)	£40,000
5. South of France (July 2011)	£3,000
6. Palm Beach (August 2011)	£8,000
7. Hydra and Santorini (June 2014)	£15,000
8. Harbour Island and Miami (August 2014)	£10,000
9. South of France (September 2013)	£2,000
10. Several trips to Paris 2010-2017	£22,000
ii. Total cost of the above holidays:	£120,000

    iii. £120,000 / 2 = **£60,000**

<u>Request</u>

Paragraph 1.2 of the Amended Defence provides:

> *"In any event, even if the Contract were enforceable, the Success Fee has not been triggered. The Claimant was not the effective cause of any settlement with Barclays. His approach was unhelpful. His main alleged work product – a letter which he says he redrafted over 50 times – was never sent. The Barclays matter was eventually concluded using a different legal team and a different approach, without any involvement from the Claimant."*

9. Please Identify the different legal team and explain the different legal approach that

was adopted.

Response

9. The legal team was made up of Withers LLP and Counsel. Otherwise, Response 1 above is repeated.

Request

Paragraph 12.1 of the Amended Defence provides:

> " *between July 2010 and October 2017, the Defendant gave the Claimant the benefit of living at Warwick House rent free, with no contribution towards utility or council tax bills, and with the Defendant doing or paying for all of the Claimant's groceries, cooking, cleaning, holidays, and laundry. Noting the value of Warwick House (sold for £12 million in 2020), and the commensurate approximate rental value(£9,000 per week), and the extraordinarily high living standards enjoyed by the Claimant for over seven years, the Defendant's best approximation of the value to theClaimant of these countervailing benefits is as follows, for a rounded (for present purposes only) seven year period:*
>
> *50% of the notional rental cost of Warwick House £1,642,500*.

10. Provide details of all rental income received by the Defendant from letting out rooms at Warwick House during the period July 2010 and October 2017.

Response

10. Further information is not reasonably necessary or proportionate to enable the Claimant to prepare his own case or to understand the case he has to meet. Further:
    a. The Defendant's case is that an appropriate way to calculate the value to the Claimant of living at Warwick House is to take the approximate rental value of Warwick House and divide it by 2.
    b. If the Claimant's case is that the value to him of living at Warwick House should be calculated by reference to a different comparator, eg the amount which would be paid by a lodger or by an occasional Airbnb guest, the information requested may be relevant. However, that is not the Claimant's pleaded case.
    c. In any event, it is not proportionate for the Defendant to search for and add up receipts from the few visitors via Airbnb.com / spareroom.com over the seven year period, or to calculate how much she received from so-called "lodgers" in

2012-14 (such lodgers, for the most part, being the children of friends).

Request

Paragraph 20.2 of the Amended Defence provides:

> "*It is admitted that a potential conflict of interest was raised. Without any broader waiver of privilege, there were two issues. First, Withers was already owed very significant fees, and the Defendant's potential claim against Barclays would involve very significant further fees. It was possible that Withers' interest and the Defendant's interest may conflict because of this. Secondly, there appeared to be a conflict between the Claimant's appetite to pursue Barclays and the Defendant's.*".

11. Please state the date the conflict of interest was first raised by Withers and the fees that were owed to Withers at that date.

Response

11. This further information is not reasonably necessary or proportionate to enable the Claimant to prepare his own case or to understand the case he has to meet.

Request

Paragraph 44 provides:

> "*Paragraph 43 is admitted, save that the Data Subject Access Request was sent to Milleis Banque (formerly Barclays France) not Barclays*".

12. Please confirm the date and the details of the response to the Data Subject Access Request sent to Milleis Banque on 5 July 2019.

Response

12. The Defendant does not recall any response to the Data Subject Access request. However, an earlier request for bank statements sent to Milleis Banque was responded to: the response was, in substance, that Milleis Banque was not in possession of the requested documents.

LAURIE SCHER

STATEMENT OF TRUTH

I believe that the facts stated in this response to part 18 request are true. I understand that proceedings for contempt of court may be brought against anyone who makes, or causes to be made, a false statement in a document verified by a statement of truth without an honest belief in its truth.

N Johnson

Nicola Johnson

Dated: 8 July 2021